

Multiple Choice (10 marks)

1. Normal goods always have a/an
 - (a) inelastic demand curve
 - (b) upward sloping demand curve
 - (c) positive income elasticity
 - (d) elastic price elasticity
 - (e) elastic demand curve
2. Which of the following would shift the aggregate demand curve to the right?
 - (a) An increase in unemployment rates
 - (b) A decrease in government spending
 - (c) A decrease in the supply of money
 - (d) An increase in savings
 - (e) An increase in interest rates
3. An increase in the price of forklifts imported into the United States from Belgium will
 - (a) increase the consumer price index and the GDP deflator.
 - (b) increase the consumer price index but not the GDP deflator.
 - (c) increase the GDP deflator but not the consumer price index.
 - (d) have no effect on the consumer price index or the GDP deflator.
4. Excess reserves in the banking system will increase if
 - (a) the reserve ratio is decreased.
 - (b) the discount rate is decreased.
 - (c) the Fed reduces the amount of money in circulation.
 - (d) the discount rate is increased.
 - (e) the checking deposits increase.
5. What are the three sources of money creation?
 - (a) Central banks, investment banks, insurance companies
 - (b) Foreign exchange, bonds, mutual funds
 - (c) Private businesses, government, factories
 - (d) United States Treasury, Federal Reserve Banks, commercial banks
 - (e) Commodity markets, sovereign wealth funds, state governments

True / False (10 marks)

Answer True or False

6. True or False: If Matt's total utility from bratwurst increases at a constant rate, his demand curve for bratwurst will be horizontal.
7. True or False: The increase in real GDP per capita from 1990 to 2000 represents an economic growth of 50 percent.
8. True or False: Raising taxes on disposable income can be an effective measure against built-in inflation, which is driven by rising wages and costs.
9. True or False: An increase in international tourism to Mexico will shift the demand curve for the Mexican peso to the left.
10. True or False: An increasing national debt leads to an increased supply of U.S. dollars, causing the value of the dollar to depreciate against other currencies.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the primary objective of modern central banking, focusing on how it formulates policies that influence the monetary base and their implications for the economy.
12. Discuss the importance of seasonal adjustments in economic data analysis and how they contribute to accurately identifying long-term trends.

End of Paper